

# **POLICY ON DETERMINING MATERIAL SUBSIDIARIES**

**Avance Technologies Limited**  
**CIN: L51900MH1985PLC035210**

**Reg. Off:** 404, Corporate Annexe, Sonawala Road, Goregaon (East), Mumbai, Maharashtra – 400 063  
**Phone No.:** +91 9594988351 **Email:** [info@avance.in](mailto:info@avance.in) | [avancetechnologiesltd@gmail.com](mailto:avancetechnologiesltd@gmail.com) | **Website:** [www.avance.in](http://www.avance.in)



## 1. PREAMBLE

This Policy on Determining Material Subsidiary ("Policy") has been framed in accordance with the provisions of Regulation 16(1)(c) and Regulation 24 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("SEBI LODR Regulations"), as amended from time to time.

The Policy sets out the criteria for determining material subsidiaries and provides a governance framework for such subsidiaries.

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## 2. OBJECTIVE

The objective of this Policy is to:

- Define criteria for identification of material subsidiaries
- Ensure enhanced corporate governance and oversight over such subsidiaries
- Protect the interests of shareholders and stakeholders
- Ensure compliance with applicable laws and regulations

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## 3. DEFINITIONS

### 3.1 "Subsidiary"

Shall have the meaning assigned under the Companies Act, 2013 and SEBI LODR Regulations.

### 3.2 "Material Subsidiary"

A subsidiary shall be considered material if its income or net worth exceeds **10% of the consolidated income or net worth** respectively of the Company and its subsidiaries, as per the audited consolidated financial statements of the immediately preceding financial year.

### 3.3 "Material Unlisted Subsidiary"

An unlisted subsidiary shall be considered material if its income or net worth exceeds **20% of the consolidated income or net worth** respectively of the Company and its subsidiaries, as per the audited consolidated financial statements of the immediately preceding financial year.

### 3.4 "Significant Transaction or Arrangement"

A transaction or arrangement shall be considered significant if it individually or taken together with previous transactions during a financial year, exceeds **10% of the total revenues or total expenses or total assets or total liabilities**, as the case may be, of the unlisted subsidiary for the immediately preceding financial year.

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#### 4. GOVERNANCE FRAMEWORK

The Company shall comply with the following requirements with respect to its subsidiaries:

##### 4.1 Oversight by Audit Committee

The Audit Committee shall:

- Review the financial statements of unlisted subsidiaries periodically
- Review, in particular, investments made by such subsidiaries
- Monitor financial, operational and compliance risks associated with subsidiaries

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##### 4.2 Board Oversight

- The minutes of the Board Meetings of unlisted subsidiaries shall be placed before the Board of Directors of the Company
- The management shall periodically bring to the attention of the Board:
  - Significant transactions and arrangements
  - Key financial and operational developments
  - Risk exposures and compliance status

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##### 4.3 Independent Director Requirement

At least one Independent Director of the Company shall be a director on the Board of an **unlisted material subsidiary (i.e., crossing 20% threshold)**, whether incorporated in India or outside India.

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##### 4.4 Restrictions on Disposal of Shares

The Company shall **not dispose of shares in its material subsidiary** (whether in one or more tranches), resulting in:

- Reduction of shareholding to **less than 50%**, or
- Loss of control over the subsidiary

**Without prior approval of shareholders by way of special resolution**, except in cases where:

- The disinvestment is pursuant to a scheme of arrangement duly approved by a Court/Tribunal; or
- Under a resolution plan approved under Section 31 of the Insolvency and Bankruptcy Code, and such event is disclosed to the stock exchanges within the prescribed timeline

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#### 4.5 Restrictions on Disposal of Assets

Selling, disposing, or leasing of assets amounting to **more than 20% of the assets of a material subsidiary**, on an aggregate basis during a financial year, shall require:

- **Prior approval of shareholders by way of special resolution**

#### **Exception:**

Approval shall not be required if such disposal is:

- Under a Court/Tribunal approved scheme of arrangement; or
  - Under an approved insolvency resolution plan with proper disclosure
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#### 4.6 Secretarial Audit

Every **material unlisted subsidiary incorporated in India** shall:

- Undertake **Secretarial Audit**
  - Annex the Secretarial Audit Report with the Annual Report of the Company
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#### 4.7 Governance & Compliance Alignment

The Company shall ensure that:

- Subsidiaries operate within a robust governance framework
  - Material subsidiaries comply with applicable laws, including provisions relating to:
    - Related Party Transactions
    - Risk management
    - Internal controls
  - Adequate systems are in place for monitoring performance and compliance
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### 5. DISCLOSURES

This Policy shall be:

- Disclosed on the website of the Company in accordance with Regulation 46 of SEBI LODR Regulations
  - Made available under the “Policies” section for public access
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## 6. REVIEW OF POLICY

This Policy shall be:

- Reviewed **at least once in a year** or
- As and when required due to regulatory amendments or business requirements

Any amendment to the Policy shall be approved by the Board of Directors.

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## 7. AMENDMENTS

In case of any inconsistency between this Policy and applicable laws, the provisions of law shall prevail, and the Policy shall be modified accordingly.

**Note:** *This Policy shall be subject to periodic review by the Board of Directors and shall be deemed to be amended in accordance with any changes in the applicable provisions of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and other statutory requirements. In the event of any inconsistency between this Policy and applicable laws, the provisions of such laws shall prevail.*

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